

3.5 Electronic Transactions

One has to visit the bank and fill in a challan or produce a cheque to withdraw money from his account.

Now this practice is gradually vanishing. Instead, one can easily withdraw the necessary amount from an Automated Teller Machine (ATM), with the help of an ATM debit card. One can easily withdraw the money needed at any time at ATMs located everywhere. A person can deposit money in their account without visiting the branch.

- Similarly, credit cards are also available, through which things are bought on credit and the amount can be paid later.
- Nowadays, instead of using cheques or Demand Drafts (DDs), online transactions through net banking are carried out. Through this, money is transacted to anyone who lives anywhere across the globe.
- Technology has advanced so much that even mobile banking is widely used nowadays.



3.6 Role of the Reserve Bank of India

A government has the responsibility to regulate money supply and oversee the monetary policy. Hoarding of money must be avoided at all costs in a country's economy. Only then money can be saved in banks.

A major portion of the savings in banks are used for the development of industries, economic growth and various development schemes for the welfare of the poor.



All the major and important banks were nationalised (1969) in India. Th e Reserve Bank of India (RBI) regulates the circulation of currency in India.

The Reserve Bank of India started its operations on 1st April 1935. It was permanently moved to Mumbai from the year 1937. RBI was nationalised in 1949. 85% of the printed currency is let for circulation. According to the statistics available as on August 2018, currency worth of 19 lakh crore are in circulation.

(source - Reserve Bank of India)

DO YOU KNOW?

Dr. B.R. Ambedkar's Ph.D. thesis on 'The Problem of the Rupee - Its origin and solution' was the reference tool and provided guidelines for the Reserve Bank of India Act of 1934.

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